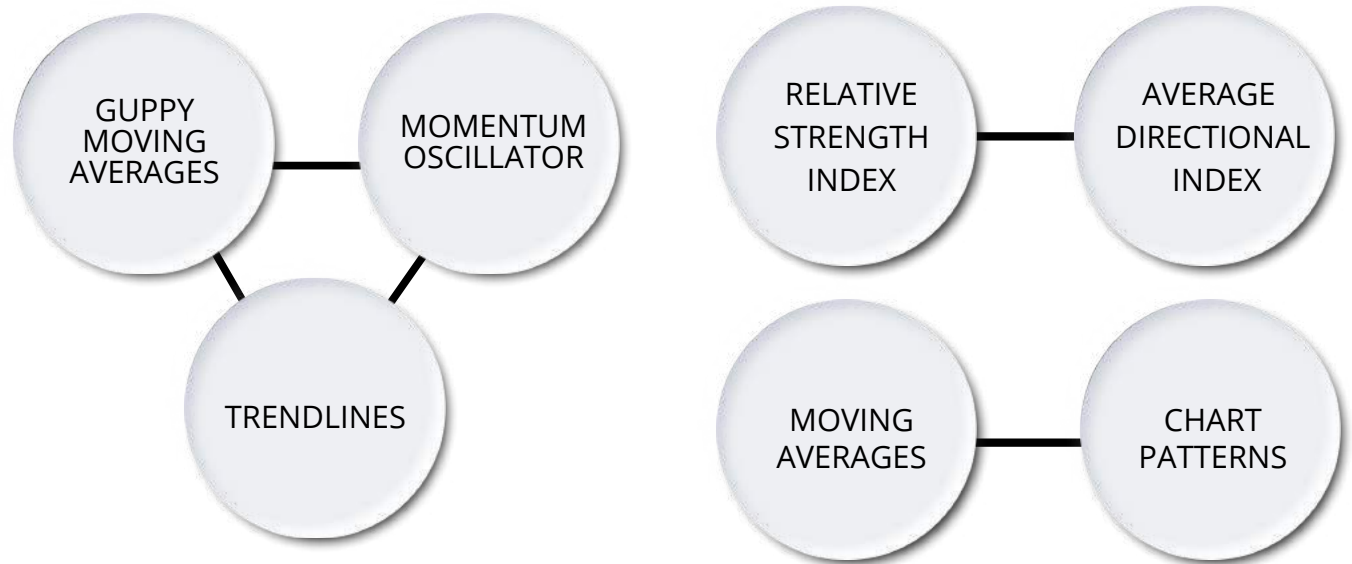


CREATING A STRATEGY

We have learnt to emphasize on creating a trading system. The building block of a system included building strategies. Let us understand the different elements required to create a working and effective strategy. The different elements required include the following-



WHAT INDICATORS WE WILL BE USING?

The very first thing that we need to figure out when creating a trading strategy is the combination of analytical tools that we will be using. We can use a combination of RSI and ADX. We can use a combination of moving averages and chart patterns. We can use guppy moving averages, momentum oscillator and trendlines together. We can use any combination as we like to create such strategies. At times we can also use just a single indicator and not in combination with multiple averages. This selection of indicators requires a lot of creative effort and trial and error as well.